BUILD FELLOW PROJECT — E-PORTFOLIO

Project Title

Financial Analysis of Commercial Real Estate Portfolio (Build Fellow Program)

Project Overview

This Build Fellow project focuses on analysing the financial performance of a residential leasing property using industry-standard real estate investment metrics. The project evaluates multi-year cash flows, revenue drivers, operating expenses, and overall profitability to determine the investment's viability.

The analysis includes calculating **NOI, cash flows, unlevered and levered IRR, NPV, equity multiple**, and performing **sensitivity assessments** to measure how changes in rent, vacancy, and expenses impact returns. Results guide data-driven recommendations for investors.

Key Responsibilities & Contributions

- Built complete **multi-year cash flow model** (Years 1–5)
- Estimated revenue growth, market rent, occupancy, and leasing assumptions
- Modelled **operating expenses** and calculated annual **Net Operating Income (NOI)**
- Created **levered and unlevered IRR** calculations for investment performance
- Computed **Debt Service Coverage Ratio (DSCR)** and **Equity Multiple**
- Built **sensitivity tables** for rent increases, vacancy % changes, and cost fluctuations
- Delivered **investment recommendation** based on model outcomes
- Designed clear **PowerPoint presentation** summarizing insights

Tools & Techniques Used

- Microsoft Excel (Financial formulas, modeling, sensitivity analysis)
- Real estate finance concepts
- IRR, NPV, NOI, Cap Rate
- Scenario & What-If Analysis
- Data visualization for financial results

Key Insights

- Levered IRR increases significantly due to 60% debt financing.
- NOI growth is driven by improvement in occupancy and stabilized rent.
- Sensitivity analysis shows rent growth is the strongest driver of investor return.
- Investment is financially favourable based on IRR exceeding target threshold.

Project Deliverables

- Excel financial model
- Final investor-ready presentation
- Market metrics report
- GitHub project repository